with the statement of accounts obtained from them.

4. **Accounting of Purchase Returns:**

   The return outwards book is to be compared with the ledger accounts and confirm that all the returns are supported by the credit notes of the suppliers.

5. **Purchases of Subsequent Year:**

   The purchase invoices relating to the period immediately following the close of the year, are to be verified to ensure that they do not relate to the period under audit.

6. **Obtain Reasons for Outstanding Balance**

   The balances outstanding for a long period is to be probed and reasons for the same are to be found out.

7. **Comparison of Gross Profit:**

   Percentage of gross profits of the previous years is to be compared with the gross profits of the year under audit. Variation if any, found to be unreasonable or omission of purchase or inclusion of fictitious purchases are to be considered.

8. **Confirmation from Management**

   The auditor shall obtain from the management a certificate that all liabilities that had accrued till the close of the accounting year are carefully accounted for.

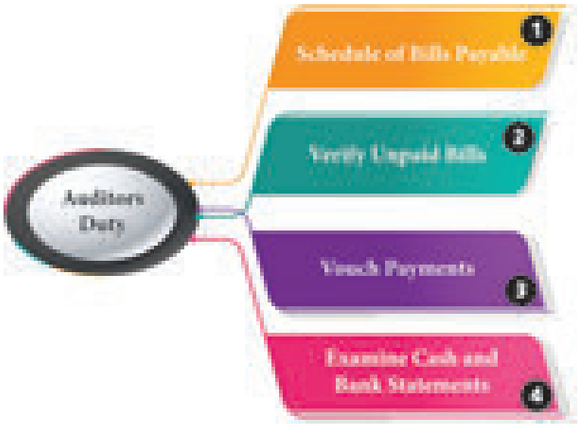
6.5.2 Bills Payable

MEANING

Bill refers to bill of exchange. Bills payable means bills acccepted for the credit purchases made. The amounts on bills are payable at its due dates. It is a current liability.

AUDITOR'S DUTY

1. **Schedule of Bills Payable:** The auditor should get a schedule of bills payable and compare with the Bills Payable Book and Bills payable Account.
2. **Verify Unpaid bills:** He should verify unpaid bills and check the subsequent payments with the cash book.
3. **Vouch Payments:** He should vouch the payments made against bills payable.
4. **Examine Cash and Bank Statements:** He should examine cash and bank statements for the bills which are met after the date of Balance Sheet but before the date of audit.



6.5.3 Bank Overdraft

MEANING

It is a line of credit extended by a bank to its account holder to withdraw money in excess of the balance in his account up to a specified limit. It is a current liability as the business concern, being an account holder is liable to repay the amount to the bank.

AUDITOR'S DUTY

1. **Verify Borrowing Powers:** The auditor should examine the Memorandum and Articles of Association to know the borrowing powers of the company.

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